



Abstract

We present a blockchain-based transfer agent built on Lux Network that maintains the official shareholder registry as on-chain state. Under Section 17A of the Securities Exchange Act of 1934, a transfer agent is responsible for maintaining the issuer’s security holder records, processing transfers, and managing corporate actions. Traditional transfer agents maintain these records in private databases, creating opacity, reconciliation burdens, and single points of failure. The Lux transfer agent stores the cap table as ERC-1400 partition balances on Lux EVM, with the registry secured by MPC threshold custody—the transfer agent never holds issuer private keys. This work extends the Arca securities infrastructure (2018), where the `sec-wallet` and `st-contracts` first demonstrated on-chain securities registry management for ArCoin. The system handles dividend distribution via smart contract, corporate actions (stock splits, mergers, conversions, tender offers), shareholder voting through on-chain governance, and regulatory reporting from immutable on-chain records. Investor identity is anchored to I-Chain DIDs, enabling portable KYC credentials and zero-knowledge accreditation proofs. Settlement finality is provided by Lux consensus, eliminating the reconciliation delays inherent in traditional transfer agent operations.

1 Introduction

A transfer agent is a regulated entity that maintains the official record of who owns a company’s securities. In the United States, transfer agents register with the SEC under Section 17A of the Securities Exchange Act of 1934 and are subject to Rules 17Ad-1 through 17Ad-17. The transfer agent’s core responsibilities are:

1. **Registry maintenance:** Maintaining the official list of security holders, their holdings, and their contact information.
2. **Transfer processing:** Recording changes of ownership when securities are bought, sold, gifted, or inherited.
3. **Dividend distribution:** Calculating and distributing dividends, interest payments, and other distributions to holders.
4. **Corporate actions:** Processing stock splits, reverse splits, mergers, conversions, and tender offers.
5. **Shareholder services:** Facilitating proxy voting, issuing statements, handling lost certificates, and managing escheatment.
6. **Regulatory reporting:** Filing required reports with the SEC and responding to regulatory inquiries.

Traditional transfer agents (Computershare, EQ, AST Financial) maintain these records in proprietary databases. This creates several structural problems:

- **Opacity:** Issuers and investors cannot independently verify the registry. They must trust the transfer agent’s records.
- **Reconciliation:** When securities trade on multiple venues, the transfer agent must reconcile its records with each venue’s settlement reports, a process that can take days.
- **Single point of failure:** If the transfer agent’s database is corrupted, lost, or compromised, the registry may be unrecoverable.
- **Cost:** Traditional transfer agents charge per-transaction and per-holder fees that make small-denomination securities economically impractical.
- **Latency:** Transfer processing typically requires 1–3 business days, during which the registry is inconsistent with the actual ownership state.

1.1 Heritage: Arca `sec-wallet` and `st-contracts`

The Arca `sec-wallet` (2018) was an institutional securities wallet that managed ERC-1400 security token holdings with multi-signature authorization and audit logging. The `st-contracts` provided the on-chain token representation for ArCoin and Arca Fund interests. Together, these

components demonstrated that an on-chain registry could serve as the authoritative record of securities ownership, with the blockchain providing the immutability, transparency, and auditability that traditional databases lack.

The limitations of the Arca approach were:

1. **Single issuer key:** The issuer controlled a single Ethereum private key for registry management. Compromise of this key would allow unauthorized registry modifications.
2. **No corporate actions:** The Arca contracts did not implement automated corporate actions (splits, mergers, conversions).
3. **No voting:** Shareholder voting was conducted off-chain.
4. **Ethereum gas costs:** On Ethereum mainnet, the gas costs for registry updates made frequent small transfers expensive.

1.2 Contributions

The Lux transfer agent addresses each limitation:

1. **MPC-custodied registry:** The issuer’s registry management key is split via MPC threshold signing. No single party—not the issuer, not the transfer agent operator, not any regulator—can unilaterally modify the registry [?, ?].
2. **Automated corporate actions:** Stock splits, mergers, conversions, and tender offers are executed as on-chain transactions with deterministic outcomes.
3. **On-chain voting:** Shareholder voting uses on-chain governance with snapshot-based vote weighting.
4. **Low-cost operations:** Lux EVM gas costs make per-transfer fees sub-cent.
5. **DID-based identity:** Investor identity is anchored to I-Chain DIDs, enabling portable KYC and accreditation credentials.

2 On-Chain Cap Table

2.1 Cap Table as ERC-1400 State

The cap table is the authoritative record of who owns what securities and in what quantities. In the Lux transfer agent, the cap table is the aggregate state of all ERC-1400 partition balances for a given security token [?]:

Definition 1 (Cap Table). *For a security token T with partitions $P = \{p_1, p_2, \dots, p_m\}$ and holder set H , the cap table is the function:*

$$CapTable(T) : P \times H \rightarrow \mathbb{N}$$

where $CapTable(T)(p, h)$ returns the number of units of T held by h in partition p .

The total outstanding supply is:

$$TotalSupply(T) = \sum_{p \in P} \sum_{h \in H} CapTable(T)(p, h)$$

Excluding treasury shares:

$$Outstanding(T) = TotalSupply(T) - CapTable(T)(TREASURY, issuer)$$

2.2 Cap Table Contract

Listing 1: Cap table view contract.

```

1 contract CapTableView {
2     ISecurityToken public token;
3
4     struct HolderRecord {
5         address holder;
6         bytes32 did; // I-Chain DID
7         bytes32[] partitions;
8         uint256[] balances;
9         uint256 totalBalance;
10    }
11
12    function getCapTable() external view returns (HolderRecord[] memory) {
13        address[] memory holders = token.holders();
14        HolderRecord[] memory records = new HolderRecord[](holders.length);
15
16        for (uint i = 0; i < holders.length; i++) {
17            bytes32[] memory parts = token.partitionsOf(holders[i]);
18            uint256[] memory bals = new uint256[](parts.length);
19            uint256 total = 0;
20
21            for (uint j = 0; j < parts.length; j++) {
22                bals[j] = token.balanceOfByPartition(parts[j], holders[i]);
23                total += bals[j];
24            }
25
26            records[i] = HolderRecord({
27                holder: holders[i],
28                did: identityRegistry.didOf(holders[i]),
29                partitions: parts,
30                balances: bals,
31                totalBalance: total
32            });
33        }
34
35        return records;
36    }
37
38    function holderCount() external view returns (uint256) {
39        return token.holders().length;
40    }
41
42    function holdersByPartition(bytes32 partition)
43        external view returns (address[] memory)
44    {
45        return token.holdersByPartition(partition);
46    }
47 }

```

2.3 Registry Integrity

Theorem 1 (Registry Consistency). *The on-chain cap table is always consistent: the sum of all partition balances for all holders equals the total supply, and no transfer can create or destroy tokens outside of explicit issuance and redemption operations.*

Proof. Every state change to the cap table occurs through one of four operations on the ERC-1400 contract: `issue`, `redeem`, `transferByPartition`, or `controllerTransfer`. The `issue` operation increases total supply and a holder’s partition balance by the same amount. The `redeem` operation decreases both by the same amount. The `transferByPartition` and `controllerTransfer` operations decrease one holder’s balance and increase another’s by the same amount, leaving total supply unchanged. The EVM executes these operations atomically—if any step reverts, the entire transaction reverts. Therefore, the invariant $\sum_{p,h} \text{CapTable}(T)(p, h) = \text{TotalSupply}(T)$ is maintained after every transaction. $\square$

3 Dividend Distribution

3.1 Distribution Contract

Dividends and interest payments are distributed via a smart contract that snapshots the cap table at the record date and calculates per-holder entitlements:

Listing 2: Dividend distribution contract.

```
1 contract DividendDistributor {
2     ISecurityToken public securityToken;
3     IERC20 public paymentToken; // stablecoin for distributions
4
5     struct Distribution {
6         uint256 id;
7         uint256 recordBlock; // snapshot block
8         uint256 totalAmount; // total distribution amount
9         uint256 totalEligible; // total eligible shares
10        uint256 perShareAmount; // amount per share (basis points)
11        bytes32[] partitions; // eligible partitions
12        bool executed;
13    }
14
15    mapping(uint256 => Distribution) public distributions;
16    mapping(uint256 => mapping(address => bool)) public claimed;
17
18    function createDistribution(
19        uint256 totalAmount,
20        bytes32[] calldata eligiblePartitions
21    ) external onlyController returns (uint256 distID) {
22        uint256 totalEligible = 0;
23        for (uint i = 0; i < eligiblePartitions.length; i++) {
24            address[] memory holders = securityToken
25                .holdersByPartition(eligiblePartitions[i]);
26            for (uint j = 0; j < holders.length; j++) {
27                totalEligible += securityToken.balanceOfByPartition(
28                    eligiblePartitions[i], holders[j]
29                );
30            }
31        }
32
33        require(totalEligible > 0, "no eligible shares");
34
35        distID = nextDistID++;
36        distributions[distID] = Distribution({
37            id: distID,
38            recordBlock: block.number,
39            totalAmount: totalAmount,
40            totalEligible: totalEligible,
41            perShareAmount: (totalAmount * 1e18) / totalEligible,
42            partitions: eligiblePartitions,
43            executed: false
44        });
45
46        paymentToken.transferFrom(msg.sender, address(this), totalAmount);
47
48        emit DistributionCreated(distID, totalAmount, totalEligible);
49    }
50
51    function claim(uint256 distID) external {
52        Distribution memory dist = distributions[distID];
53        require(!claimed[distID][msg.sender], "already claimed");
54
55        uint256 holding = 0;
56        for (uint i = 0; i < dist.partitions.length; i++) {
57            holding += securityToken.balanceOfByPartition(
58                dist.partitions[i], msg.sender
59            );
60        }
61
62        require(holding > 0, "no eligible holding");
63    }
```

```

64     uint256 amount = (holding * dist.perShareAmount) / 1e18;
65     claimed[distID][msg.sender] = true;
66     paymentToken.transfer(msg.sender, amount);
67
68     emit DividendClaimed(distID, msg.sender, amount);
69 }
70 }

```

3.2 Distribution Types

Table 1: Supported distribution types.

Type	Description
Cash dividend	Fixed amount per share distributed in stable-coin
Interest payment	Periodic interest on debt securities (ArCoin model)
Return of capital	Tax-advantaged distribution reducing cost basis
Stock dividend	Additional shares issued pro rata to existing holders
Special dividend	One-time extraordinary distribution
Liquidating distribution	Final distribution upon security wind-down

Interest payments for debt securities (the ArCoin model) use the same distribution mechanism, with the payment amount calculated from the coupon rate and the security’s par value.

4 Corporate Actions

4.1 Stock Split

A forward stock split increases the number of outstanding shares by a specified ratio while proportionally reducing the per-share price:

Listing 3: Stock split implementation.

```

1  contract CorporateActions {
2      ISecurityToken public token;
3
4      function executeStockSplit(
5          uint256 numerator,    // e.g., 2 for a 2:1 split
6          uint256 denominator // e.g., 1 for a 2:1 split
7      ) external onlyController {
8          require(numerator > denominator, "must be forward split");
9
10         address[] memory holders = token.holders();
11         bytes32[] memory partitions = token.totalPartitions();
12
13         for (uint i = 0; i < holders.length; i++) {
14             for (uint j = 0; j < partitions.length; j++) {
15                 uint256 balance = token.balanceOfByPartition(
16                     partitions[j], holders[i]
17                 );
18                 if (balance == 0) continue;
19
20                 uint256 newBalance = (balance * numerator) / denominator;
21                 uint256 additional = newBalance - balance;
22
23                 if (additional > 0) {
24                     token.issueByPartition(

```

```

25         partitions[j], holders[i], additional, ""
26     );
27 }
28 }
29 }
30
31     emit StockSplit(numerator, denominator, block.timestamp);
32 }
33 }

```

4.2 Reverse Split

A reverse stock split reduces the number of outstanding shares. Fractional shares resulting from the reverse split are redeemed at fair market value:

Listing 4: Reverse split with fractional share handling.

```

1  function executeReverseSplit(
2      uint256 numerator,    // e.g., 1 for a 1:5 reverse
3      uint256 denominator  // e.g., 5 for a 1:5 reverse
4  ) external onlyController {
5      require(numerator < denominator, "must be reverse split");
6
7      address[] memory holders = token.holders();
8      bytes32[] memory partitions = token.totalPartitions();
9
10     for (uint i = 0; i < holders.length; i++) {
11         for (uint j = 0; j < partitions.length; j++) {
12             uint256 balance = token.balanceOfByPartition(
13                 partitions[j], holders[i]
14             );
15             if (balance == 0) continue;
16
17             uint256 newBalance = (balance * numerator) / denominator;
18             uint256 fractional = balance - (newBalance * denominator / numerator);
19             uint256 toRedeem = balance - newBalance;
20
21             if (toRedeem > 0) {
22                 token.controllerRedeem(
23                     holders[i], toRedeem, "", abi.encode(partitions[j])
24                 );
25             }
26
27             // Fractional shares paid out in cash
28             if (fractional > 0) {
29                 uint256 cashValue = fractional * lastTradePrice / 1e18;
30                 paymentToken.transfer(holders[i], cashValue);
31             }
32         }
33     }
34
35     emit ReverseSplit(numerator, denominator, block.timestamp);
36 }

```

4.3 Supported Corporate Actions

Table 2: Corporate actions and their on-chain implementations.

Action	Implementation
Forward split	Issue additional tokens pro rata
Reverse split	Redeem excess tokens, pay fractional cash
Merger	Convert tokens to acquirer's tokens at exchange ratio
Conversion	Convert between partitions (e.g., preferred to common)
Tender offer	Accept tokens at offer price, redeem accepted tokens
Spin-off	Issue new security tokens pro rata to existing holders
Rights offering	Issue subscription rights tokens to existing holders
Name/symbol change	Update token metadata (controller operation)

5 Shareholder Voting

5.1 On-Chain Governance

Shareholder voting is implemented as on-chain governance with snapshot-based vote weighting:

Listing 5: Shareholder voting contract.

```
1 contract ShareholderVoting {
2     ISecurityToken public token;
3
4     struct Proposal {
5         uint256 id;
6         string description;
7         bytes32 documentHash; // hash of proxy statement
8         uint256 snapshotBlock;
9         uint256 votingStart;
10        uint256 votingEnd;
11        bytes32[] eligiblePartitions;
12        mapping(address => Vote) votes;
13        uint256 votesFor;
14        uint256 votesAgainst;
15        uint256 votesAbstain;
16        bool finalized;
17    }
18
19    enum Vote { None, For, Against, Abstain }
20
21    function createProposal(
22        string calldata description,
23        bytes32 documentHash,
24        uint256 votingDuration,
25        bytes32[] calldata eligiblePartitions
26    ) external onlyController returns (uint256 propID) {
27        propID = nextPropID++;
28        Proposal storage p = proposals[propID];
29        p.id = propID;
30        p.description = description;
31        p.documentHash = documentHash;
32        p.snapshotBlock = block.number;
33        p.votingStart = block.timestamp;
34        p.votingEnd = block.timestamp + votingDuration;
```



```

35     p.eligiblePartitions = eligiblePartitions;
36
37     emit ProposalCreated(propID, description, p.votingEnd);
38 }
39
40 function vote(uint256 propID, Vote v) external {
41     Proposal storage p = proposals[propID];
42     require(block.timestamp >= p.votingStart, "voting not started");
43     require(block.timestamp <= p.votingEnd, "voting ended");
44     require(p.votes[msg.sender] == Vote.None, "already voted");
45
46     uint256 weight = votingWeight(msg.sender, p);
47     require(weight > 0, "no voting shares");
48
49     p.votes[msg.sender] = v;
50     if (v == Vote.For) p.votesFor += weight;
51     else if (v == Vote.Against) p.votesAgainst += weight;
52     else if (v == Vote.Abstain) p.votesAbstain += weight;
53
54     emit VoteCast(propID, msg.sender, v, weight);
55 }
56
57 function votingWeight(
58     address holder, Proposal storage p
59 ) internal view returns (uint256) {
60     uint256 weight = 0;
61     for (uint i = 0; i < p.eligiblePartitions.length; i++) {
62         weight += token.balanceOfByPartition(
63             p.eligiblePartitions[i], holder
64         );
65     }
66     return weight;
67 }
68 }

```

5.2 Proxy Voting

Holders may delegate their votes via on-chain proxy:

Listing 6: Proxy delegation.

```

1 mapping(address => address) public proxies;
2
3 function delegateProxy(address delegate) external {
4     proxies[msg.sender] = delegate;
5     emit ProxyDelegated(msg.sender, delegate);
6 }
7
8 function voteAsProxy(
9     uint256 propID, address holder, Vote v
10 ) external {
11     require(proxies[holder] == msg.sender, "not authorized proxy");
12     // ... cast vote with holder's weight
13 }

```

6 I-Chain Identity Integration

6.1 DID-Based Registry

Each entry in the shareholder registry is linked to an I-Chain Decentralized Identifier (DID). The DID serves as the canonical identity anchor, with the Ethereum address serving as one of potentially multiple authentication methods:

Listing 7: Investor registry entry.

```

1 type InvestorRecord struct {
2     DID string // I-Chain DID (did:lux:...)

```

```

3   Addresses      []Address // Ethereum addresses linked to DID
4   KYCStatus      string    // verified, pending, expired, rejected
5   KYCProvider    string    // Simplicii, etc.
6   KYCExpiry      time.Time
7   Accreditation  string    // qualified, not-qualified, pending
8   AccredBasis    string    // income, net-worth, professional, entity
9   AccredExpiry   time.Time
10  Jurisdiction   string    // ISO 3166-1 alpha-2
11  Subdivision    string    // ISO 3166-2 (state/province)
12  TaxID          string    // encrypted, for 1099/W-8 reporting
13  CreatedAt      time.Time
14  UpdatedAt      time.Time
15 }

```

6.2 Portable Credentials

Because investor identity is anchored to I-Chain DIDs rather than platform-specific accounts, credentials are portable across any platform built on Lux:

- An investor who completes KYC on the Lux ATS [?] can trade on any other Lux-based ATS without repeating KYC.
- Accreditation credentials issued by one platform are recognized by all platforms that reference the I-Chain identity registry.
- If an investor's accreditation expires, the credential revocation propagates to all platforms automatically.

6.3 Zero-Knowledge Accreditation

For privacy-sensitive operations, investors can prove accreditation without revealing the underlying basis:

Listing 8: ZK accreditation verification.

```

1 interface IZKAccreditation {
2     function verifyAccreditation(
3         bytes32 did,
4         bytes calldata zkProof
5     ) external view returns (bool);
6     // Proves: "holder with DID has valid accreditation credential"
7     // Reveals: nothing about income, net worth, or basis
8 }

```

7 Regulatory Reporting

7.1 SEC Reporting Obligations

The transfer agent generates the following reports from on-chain data:

Table 3: Regulatory reporting schedule.

Report	Frequency	Description
Form TA-1	Annual	Transfer agent registration update
Form TA-2	Semi-annual	Processing volume and turnaround
Rule 17Ad-13	Annual	Independent audit of transfer agent records
1099-DIV	Annual (Jan)	Dividend income reporting to IRS
1099-B	Annual (Jan)	Proceeds from securities sales
1042-S	Annual (Mar)	Foreign persons' withholding
NOBO/OBO lists	On request	Registered vs beneficial owner lists
Lost securityholder	Annual	Report of lost/unresponsive holders
Escheatment	Per state	Abandoned property reporting

7.2 Audit Trail

Every registry change is recorded on-chain with the following data:

- Transaction hash (immutable identifier)
- Block number and timestamp
- Operation type (transfer, issuance, redemption, corporate action)
- Parties involved (sender DID, receiver DID)
- Partition and quantity
- Compliance check results at time of transfer
- MPC signing session identifier

The on-chain audit trail satisfies Rule 17Ad-7 (record retention for transfer agents) and Rule 17a-4 (records to be preserved by broker-dealers) without requiring separate record-keeping infrastructure. The blockchain is the record.

8 MPC-Custodied Registry

8.1 Non-Custodial Transfer Agent

Traditional transfer agents hold the issuer's registry management credentials. If the transfer agent is compromised, the attacker can modify the shareholder registry arbitrarily. The Lux transfer agent eliminates this risk through MPC threshold custody.

The issuer's registry management key (the "controller" in ERC-1400 terms) is split into shares via the same 2-of-3 MPC scheme used for the ATS [?]:

1. **Issuer share:** Held by the issuer's authorized officer.
2. **Transfer agent share:** Held by the TA operator in an HSM.
3. **Regulatory share:** Held by the regulatory custodian.

Theorem 2 (Registry Non-Tampering). *Under the 2-of-3 MPC scheme, the transfer agent cannot unilaterally modify the shareholder registry, even if the TA operator's HSM is fully compromised.*

Proof. Registry modifications require a transaction signed by the controller address. The controller's private key is split into 3 shares with threshold $t = 2$. The TA operator holds exactly

1 share. A valid signature requires 2 shares. Therefore, the TA operator alone cannot produce a valid signature. The TA must cooperate with either the issuer or the regulatory custodian to execute any registry modification. This is identical to the proof of Platform Non-Access in [?], applied to the transfer agent context. $\square$

8.2 Operational Workflow

For routine transfers (secondary market trades), the transfer agent provides its share automatically upon passing all compliance checks. The workflow:

Algorithm 1 Transfer agent registry update.

Require: Trade execution e from ATS [?]

Ensure: Updated on-chain registry

- 1: TA verifies execution e is valid (matches order, correct quantities)
 - 2: TA verifies buyer passes all transfer restrictions [?]
 - 3: TA verifies seller has sufficient balance in specified partition
 - 4: TA provides its MPC partial signature σ_{TA}
 - 5: ATS provides its MPC partial signature σ_{ATS}
 - 6: $\sigma \leftarrow \text{Combine}(\sigma_{TA}, \sigma_{ATS})$
 - 7: Submit signed `transferByPartition` transaction to Lux EVM
 - 8: Update local records (investor registry, position cache)
 - 9: Generate audit log entry
-

For extraordinary actions (corporate actions, forced transfers), the issuer must also participate:

Algorithm 2 Corporate action execution.

Require: Corporate action ca authorized by issuer board

Ensure: Executed corporate action on-chain

- 1: TA constructs corporate action transaction tx
 - 2: TA publishes tx details for issuer review
 - 3: Issuer reviews and approves, provides partial signature σ_I
 - 4: TA provides partial signature σ_{TA}
 - 5: $\sigma \leftarrow \text{Combine}(\sigma_I, \sigma_{TA})$
 - 6: Submit signed corporate action to Lux EVM
 - 7: Notify all affected holders
 - 8: Generate regulatory filing if required
-

9 Settlement Finality

9.1 Lux Consensus Finality

Lux consensus provides finality within 1–2 seconds. Once a transfer transaction is confirmed, the registry update is permanent and irreversible. This eliminates several problems inherent in traditional transfer agent operations:

Table 4: Traditional vs blockchain transfer agent operations.

Operation	Traditional TA	Lux TA
Transfer processing	1–3 business days	1–2 seconds
Registry reconciliation	Daily batch	Real-time (same tx)
Dividend record date	T-1 business day	Same block
Corporate action effective	T+1 to T+5	Same block
Audit trail	Separate log database	On-chain (immutable)
Holder verification	Manual lookup	On-chain query
Registry backup	Nightly batch	Blockchain replication
Disaster recovery	Restore from backup	N/A (distributed)

9.2 Reconciliation Elimination

In traditional securities infrastructure, the transfer agent must reconcile its records with:

- The Depository Trust Company (DTC) for street-name holdings.
- Each broker-dealer for registered holdings.
- Each ATS for recently settled trades.

This reconciliation process is the source of most operational errors in traditional transfer agent operations. The Lux transfer agent eliminates reconciliation entirely: the on-chain state is the single source of truth. All parties—the issuer, the ATS [?], the smart order router [?], and investors—read from the same on-chain registry.

10 Cost Analysis

Table 5: Transfer agent cost comparison (per-security annual).

Service	Traditional TA	Lux TA
Base annual fee	\$5,000–\$25,000	\$0 (software)
Per-transfer fee	\$5–\$25	<\$0.01 (gas)
Dividend processing	\$2–\$10/holder	<\$0.01/holder
Corporate action	\$5,000–\$50,000	<\$1.00 (gas)
Annual meeting/voting	\$5,000–\$20,000	<\$10.00 (gas)
Regulatory reporting	\$2,000–\$10,000/yr	Automated from chain
Total (1,000 holders)	\$20,000–\$100,000	<\$500

The cost reduction makes transfer agent services viable for small issuances (e.g., Regulation A+ offerings, Regulation CF crowdfunding) that are economically impractical with traditional transfer agents.

11 Conclusion

The Lux transfer agent extends the Arca `sec-wallet` and `st-contracts` into a complete, regulatory-compliant, non-custodial transfer agent that maintains the official shareholder registry as on-chain state. The cap table is the ERC-1400 partition balance set [?]. Dividends are distributed via smart contract. Corporate actions are executed as on-chain transactions. Shareholder voting uses on-chain governance. The registry is secured by MPC threshold custody—the transfer agent never holds issuer keys.

Combined with the non-custodial ATS [?] and smart order router [?], this transfer agent completes the regulatory trifecta required for digital securities: ATS registration for trading, broker-dealer registration for execution, and transfer agent registration for registry management. All three components operate non-custodially through MPC threshold signing on Lux Network.

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